

By contrast, a CEO hired to run a company may have multiple objectives as well as a shorter-term orientation. A long-term oriented and focused founder is more likely to be an excellent allocator of capital than committees of board members who do not own much stock in the company. (We jokingly call these “asterisk boards” because the proxy statement lists director ownership of less than 1% as an *.)

One question we always ask public company founders is which decisions they would make differently if they owned 100% of the equity themselves and the company were private. Ideally, they say there are few, if any, differences from what they are already doing. It is crucial that they avoid the short-term orientation that afflicts so many CEOs and boards of publicly traded companies. These founders know that the truth about a company’s value resides not in its ephemeral share price but in its prospects for longer-term cash flow generation.

For example, several years ago, Spruce House was one of the largest shareholders of XPO Logistics, one of the largest logistics companies in the United States, run by Brad Jacobs. In December 2018, Jacobs, a meticulous acquirer of businesses, was about to close the largest acquisition in XPO’s history. However, XPO’s share price dropped 42% in a matter of days, and instead of chasing the deal, Jacobs pivoted virtually overnight and repurchased \$1 billion of XPO shares instead, ultimately buying back 24% of the company. As Jacobs explained to us at the time, he looks at each decision through the lens of return on capital and return on time, and both pointed to a large share repurchase instead of the acquisition. He could not beat the return on time achieved by calling his broker and owning a lot more of a business he already knew intimately at a discounted price. This compared very favorably to the effort involved in negotiating, financing, and integrating an acquisition he inherently knew less about than his own business. We find this type of clarity and agility to be rare, and it certainly does not reside in the collective consciousness of most boards. It is not a